Q	Answer	Explanation
1	**C**	Higher input costs reduce supply: price rises, quantity falls.
2	**A, C, D, E**	A, D, and E increase demand; C reduces supply. Each raises price.
3	**A**	Demand increases and supply decreases: price rises; quantity is indeterminate.
4	**A**	Cheaper Lego increases demand for complementary display cases: their price and quantity rise.
5	**A, C**	Spotify's quantity demanded falls; demand for its substitute increases.
6	**A**	Both events increase coconut demand: price and quantity rise.
7	**E**	P=7 and **Q=70**
8	**B**	Additional imports increase supply, putting downward pressure on prices.
9	**A, B**	Destroyed trees and higher labor costs reduce orange supply.
10	**C**	Cheaper substitute apples reduce demand for oranges.
11	**E**	Supply increases and demand decreases: price falls; quantity is indeterminate.
12	**D**	More expensive socks reduce demand for complementary shoes.
13	**B**	Higher beef costs shift hamburger supply left.
14	**D**	Higher income reduces demand for inferior goods.
15	**E**	P=Q=10. Consumer surplus =12(15−10)(10)=25.
16	**A, C**	The good's own price causes movement along demand; input prices shift supply.
17	**A**	Higher hotel taxes reduce supply; the concert increases demand. Price rises; quantity is ambiguous.
18	**D**	Holding Jack's willingness to pay constant, his consumer surplus falls by $1.

19	**D**	Any price from $3 to $5 that results in trade realizes the $2 total surplus.
20	**D**	
21	**D**	Cheaper plums increase jam supply, lowering its price and increasing its quantity demanded.
22	**A, C**	A reduces demand; C increases supply. Both lower price.
23	**A**	
24	**C only**	Lower demand definitely reduces producer surplus. Supply changes have an ambiguous effect; see below.
25	**A — ABC**	Consumer surplus is below demand and above the $12 price: regions A, B, and C.
26	**D**	Costlier peanuts raise peanut butter's price, reducing demand for complementary jelly.
27	**B**	**P=8, Q=34**
28	**B, C, D**	B and C increase demand for nuts; D reduces supply. Each raises price.
29	**B**	Costlier sugar reduces cookie supply: price rises and quantity demanded falls.
30	**B, D, E**	B and D increase demand; E reduces supply. Each raises price.
31	**D**	Holding willingness to pay constant, consumer surplus falls by $10.
32	**C**	Supply and demand both decrease: quantity falls; price is indeterminate.
33	**C**	In the intended fixed-supply model, demand increases: price rises and quantity stays fixed.
34	**A**	The favorable health study increases demand for Le Merle.
35	**A**	More expensive beef increases demand for substitute chicken.
36	**B**	Higher oil costs reduce plastic supply.